



OAKRIDGE INTERNATIONAL SCHOOL  
HYDERABAD, BACHUPALLY  
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# BACKGROUND GUIDE



# FIA

**Fédération Internationale de l'Automobile**

**Agenda A - The Pink Mercedes Problem: Reforming the framework governing intellectual-property transfer and the classification of Listed Parts between constructors and their technical partners.**

**Agenda B - Reforming the driver-development pathway: direct constructor investment in Formula 2 and reform of the super licence and promotion framework.**





## Letter from the Executive Board

Dear Delegates,

Bonjour from the Executive Board of the Fédération Internationale de l'Automobile. This committee is tasked with navigating the relentless tension between technological progress, corporate power, sporting purity, and the foundational meritocracy of the World Championship.

This assembly does not merely revisit the past; it sets the regulatory stage for the future. The sport of Formula One stands at an intersection where the relentless pursuit of engineering perfection constantly tests the boundaries of sporting fairness, financial sustainability, and institutional authority. Every resolution drafted in this chamber will reverberate beyond the paddock, directly influencing boardrooms, aerodynamic development laboratories, and the global talent pipeline.

Our first agenda, demands a comprehensive reform of the very definition of an independent constructor. The assembly must confront the reality of reverse engineering, data sharing, and the exploitation of technical partnerships that threaten to reduce independent racing teams to mere customer franchises.

The 2020 Racing Point affair exposed a fault line that the current regulatory architecture was never designed to withstand. A team can legally receive a rival's prior-season CAD data, replicate its geometry with near-perfect fidelity, and field a competitive car within a single winter, so long as the components in question have not yet been elevated to the Listed Parts register. That loophole has not closed. It has migrated. As technical partnerships between full constructors and their nominal customer teams deepen, the line separating legitimate collaboration from disguised works-team status grows harder to locate, and harder still to police. The committee will be expected to draft a durable classification framework, one that can distinguish permissible parts-sharing from the wholesale transfer of competitive advantage.

Our second agenda, requires an urgent restructuring of the mechanisms that elevate junior talent to the premier class. The assembly must rescue the sport's meritocracy from the overwhelming pressures of capital inflation, where securing a competitive seat demands exorbitant financial resources, and where corporate risk aversion leaves championship-winning rookies without a future.

The modern feeder ladder was never designed to absorb the scale of capital now flowing through it. Formula 2 seats increasingly go to the drivers whose backers can underwrite a season, not necessarily to the drivers whose lap times justify one. Meanwhile, the super licence points system, intended as an objective meritocratic filter, has proven brittle in practice: a driver can win a junior championship and still find no seat waiting at the top, while a well-funded but less decorated competitor advances on the strength of a sponsor's balance sheet. Constructors, for their part, face a genuine dilemma. Direct investment in junior drivers offers a pipeline of proven talent, but it also concentrates influence over who gets to race in the hands of the very organisations whose competitive interests that talent will eventually serve.

Together, these agendas ask the committee to legislate at two very different altitudes: one governing the technical and intellectual boundaries between constructors on the grid today, and the other governing who is permitted to reach that grid at all. The expectation is that the assembly will research boldly, argue relentlessly, and regulate wisely. The time has come to legislate with precision and preserve the competitive soul of global motorsport.

**"May the odds be ever in your favour."**





Best regards,

Raunaq Sinha - **President of the FIA**

Aarush Kumar Prasad - **Deputy President of the FIA**

Aditya Vadaparathi - **Co-Secretary of the FIA**

Yathin Reddy Singireddy - **Co-Secretary of the FIA**

**A Note on Research and Sources:** This Background Guide serves as an extensive foundation to help you understand the committee's structure, context, and agendas. However, it is not an official source of FIA proceedings or decisions. Delegates are expected to treat this guide as a starting point for further research—consulting race footage, FIA regulations, media coverage, team radio transcripts, and interviews to build informed, creative, and evidence-based arguments.

In this room, the best-prepared voices will change the sport forever.

## About the FIA

The Fédération Internationale de l'Automobile (FIA) is the governing body at the forefront of global motorsport, responsible for regulating, advancing, and safeguarding the integrity of racing disciplines worldwide, with Formula 1 being its crown jewel. The FIA plays a pivotal role in shaping the future of motorsport through its comprehensive mandate, regulatory powers, and structured functioning, ensuring that the sport remains fair, competitive, and aligned with the latest technological advancements.

### Mandate

The FIA's mandate is to oversee the safe and fair conduct of motorsport, particularly in Formula 1, where innovation and competition push the boundaries of what's possible. Established in 1904, the FIA has been entrusted with creating and enforcing the technical and sporting regulations that govern the sport. This includes everything from car design specifications to race procedures, ensuring that Formula 1 maintains its status as the pinnacle of motorsport.

Central to the FIA's mandate is the balance between promoting technological innovation and ensuring the safety of all participants. The FIA is responsible for implementing safety measures that protect drivers, teams, and spectators, while also fostering an environment where cutting-edge automotive technology can thrive. The organization is also dedicated to advancing sustainability in the sport, encouraging the adoption of environmentally friendly practices and technologies.

### Powers of the FIA

The FIA wields significant authority in regulating Formula 1, with the power to shape the sport's present and future. These powers include:

- 1 Regulating Formula 1:** The FIA establishes and enforces the regulations that define the sport, covering technical aspects of vehicle design, race operations, and safety protocols. These regulations ensure that all teams compete on a level playing field, while also pushing the sport forward through technological innovation.
- 2 Ensuring Safety Standards:** Safety is paramount in Formula 1, and the FIA is at the forefront of developing and enforcing measures that protect everyone involved. This includes setting rigorous safety standards for car construction, driver protection, and race management.





- 3 Promoting Sustainability: The FIA is committed to reducing the environmental impact of Formula 1. This includes advocating for the use of hybrid and electric powertrains, optimizing race logistics, and setting targets for reducing the sport's carbon footprint.
- 4 Conducting Investigations and Reviews: The FIA has the authority to investigate incidents during races, such as crashes or rule violations, and to review race results and decisions. This ensures that all aspects of the competition are conducted fairly and transparently.
- 5 Influencing Motorsport Policy: The FIA works closely with teams, manufacturers, and other stakeholders to shape the regulations and policies that will guide the future of Formula 1. This includes everything from technological advancements to maintaining the heritage of the sport.

### Functioning of the FIA

The FIA operates through a well-organized structure that allows it to effectively manage the complexities of Formula 1. Key aspects of its functioning include:

- 1 Governance: The FIA is governed by a General Assembly and the World Motor Sport Council, which includes representatives from its member organizations. These bodies are responsible for making key decisions about the sport, including the election of the FIA President, who oversees the implementation of policies and regulations.
- 2 Decision-Making: Decisions within the FIA are made through its various commissions and councils, which focus on different aspects of Formula 1, such as safety, technology, and competition. These decisions are crucial in steering the sport towards a future that is both exciting and sustainable.
- 3 Implementation and Monitoring: Once decisions are made, the FIA ensures they are implemented across all teams and events in Formula 1. This includes monitoring compliance with regulations, conducting reviews, and making adjustments as needed to keep the sport aligned with its goals.
- 4 Engagement with Stakeholders: The FIA maintains active engagement with all stakeholders in Formula 1, including teams, drivers, manufacturers, and fans. This collaborative approach ensures that the sport remains dynamic and responsive to the needs of its global audience.

Through these roles and responsibilities, the FIA ensures that Formula 1 remains at the cutting edge of motorsport, driving forward both the technical innovation and the competitive spirit that make the sport so exhilarating.





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# Agenda A

**The Pink Mercedes Problem: Reforming the framework governing intellectual-property transfer and the classification of Listed Parts between constructors and their technical partners.**





## Introduction to the Agenda

Formula One has operated for over seven decades at the absolute pinnacle of global motorsport, functioning simultaneously as an elite athletic competition, a commercial spectacle, and an unyielding battleground of industrial research and development. At the foundational core of the sport's constitutional identity is the "Constructor Principle" the mandate that every entrant competing for the FIA Formula One World Championship must independently design, hold exclusive intellectual property (IP) rights over, and manufacture the core aerodynamic and structural components of its single-seater single-handed. This mandate ensures that Formula One remains a true engineering championship among distinct constructors rather than a standardized, single-spec customer series.

However, the escalating economic and technological demands of modern Grand Prix racing have historically created severe operational disparities between factory-backed Original Equipment Manufacturers (OEMs) and independent privateer constructors. To preserve grid viability, financial sustainability, and competitive density, the Fédération Internationale de l'Automobile (FIA) historically established technical partnership frameworks. These frameworks permitted customer teams to purchase non-listed mechanical assemblies such as internal power units, gearboxes, drive hydraulics, and inboard suspension points from primary supplier constructors.

This collaborative equilibrium suffered a systemic breakdown during the 2020 World Championship with the debut of the Racing Point RP20. Colloquially dubbed the "Pink Mercedes," the RP20 represented an almost exact visual and aerodynamic replica of the championship-winning 2019 Mercedes-AMG F1 W10 EQ Power+. While rival teams had historically analyzed and emulated competitor aerodynamic concepts through trackside 2D photography, the RP20 exhibited a level of mathematical surface alignment and dimensional correlation that paddock engineers asserted was impossible to achieve purely through standard visual interpretation. The resulting protest, investigation, and subsequent stewards' verdicts exposed deep structural vulnerabilities in the FIA Sporting and Technical Regulations regarding the legalities of digital IP retention, the transition of components between non-listed and listed classifications, and the precise legal definition of reverse-engineering.

Looking back from the vantage point of the 2026 regulatory cycle, the "Pink Mercedes" controversy stands as the single most influential catalyst for modern motorsport governance. The 2026 season introduces the most comprehensive technical and operational reset in Formula One history, featuring a 50/50 power split between internal combustion and electrical energy, active aerodynamic systems (switching dynamically between low-drag "X-mode" and high-downforce "Z-mode"), a manual override electrical boost mechanism, and reduced chassis dimensions.

Crucially, in 2026, the maturity of the FIA Financial Regulations (Cost Cap) means that intellectual property governance is no longer merely a technical or sporting dispute; it is a primary vector for financial circumvention. If a customer team acquires, inherits, or digitally reverse-engineers the aerodynamic IP, active aero surface mapping, or predictive ERS software algorithms of a primary constructor, the financial ceiling imposed by the cost cap is fundamentally compromised. Such an exchange allows primary works teams to effectively distribute research and development expenditure across affiliated entries, undermining competitive parity. Reforming the framework governing IP transfer and component classification specifically defining the boundary between Listed Team Components (LTC), Transferable Components (TRC), Standard Supply Components (SSC), Open Source Components





(OSC), and Defined Specification Components (DSC) remains vital to preserving the sporting integrity and technical legitimacy of Formula One in 2026.

## Historical Context

The fundamental tension between constructor autonomy and technical customer-supplier alliances traces its roots to the early Concorde Agreements and the long-standing regulatory distinction between "Listed Parts" and "Non-Listed Parts". Historically, Listed Parts were defined explicitly under Appendix 6 of the Sporting Regulations as specific structural and aerodynamic components that a team was strictly required to design and manufacture in-house on an exclusive basis. Conversely, Non-Listed Parts comprised internal mechanical hardware including engine assemblies, gearbox internals, hydraulic actuation systems, and internal suspension links that could be legally purchased directly from a competitor or a third-party vendor.

Throughout the 2010s, customer-supplier supply models deepened substantially across the grid. Operations such as the Haas F1 Team pioneered an aggressive business model built on purchasing every legally allowable Non-Listed Part from Scuderia Ferrari while sharing usage of Ferrari's Maranello wind tunnel. Similarly, Toro Rosso (later AlphaTauri and Racing Bulls) expanded its technical integration with Red Bull Technology, while Force India (later Racing Point and Aston Martin) relied heavily on Mercedes-AMG for power units, gearboxes, and rear hydraulic infrastructure.

While these supply agreements drastically reduced overhead for independent entrants, they introduced an unavoidable engineering dependency. Non-Listed mechanical hardware such as gearbox casings, inboard suspension pick-up points, radiator positioning, and cooling duct layouts fundamentally dictates the outer aerodynamic packaging and volume envelopes of a Formula One single-seater. A customer team purchasing a complete rear-end assembly and gearbox casing from a primary supplier is architecturally coerced toward adopting an aerodynamic concept nearly identical to that of its supplier. By 2019, the boundary separating legal mechanical hardware purchases from illegal aerodynamic IP inheritance had become practically impossible for FIA technical scrutineers to police cleanly.

### Comparative Analysis of Component Regulations Across Eras

| HISTORICAL EVOLUTION OF COMPONENT CLASSIFICATION & IP OVERSIGHT |                                                   |                                                                                                |
|-----------------------------------------------------------------|---------------------------------------------------|------------------------------------------------------------------------------------------------|
| REGULATORY ERA                                                  | COMPONENT FRAMEWORK                               | IP TRANSFER & REVERSE-ENGINEERING LIMITS                                                       |
| Pre-2020 Era                                                    | Listed Parts vs Non-Listed Parts                  | Physical CAD transfer banned for Listed Parts; 2D photography permitted.                       |
| 2021–2025 Era                                                   | Introduction of LTC, TRC, SSC, and OSC categories | Explicit legal ban on 3D laser scanning, photogrammetry, point-cloud extraction.               |
| 2026 Regulatory Era                                             | Expanded Matrix: LTC, TRC, SSC, OSC, and DSC      | Real-time STEP/CAD surface overlays, active aero software audits, cost-cap spending alignment. |





## The Listed Parts Framework

Formula 1's Listed Team Components (LTC) framework establishes which components of an F1 car must remain under the technical ownership and control of the team using them. Its broader purpose is to preserve the concept of the constructor: teams may cooperate with suppliers and technical partners but must retain responsibility for the development of the core components that define their cars.

Under Article C17.2.1 of the 2026 FIA Technical Regulations, LTCs are components whose design, manufacture and Intellectual Property must be owned and/or controlled by a single F1 Team on an exclusive basis within Formula One. A team may only use an LTC for which it has undertaken the Concept Design. However, the regulations do not require every stage of engineering or manufacturing to take place within the team's own facilities. Engineering and/or manufacturing work may be outsourced to third parties under the conditions established by Article C17.1.9.

The specific classification and boundaries of components are set out in Appendix C6, "Components' Classification and Perimeter," while Article C17.7 provides the corresponding component classifications and lists. Together, these provisions distinguish between components that must remain under a team's control and those that may be supplied, transferred or otherwise shared under defined conditions.

The framework also places restrictions on the transfer of intellectual property between competitors. Under Article C17.2.4, an F1 Team may not pass to or receive from another F1 Team information relating to its LTCs, including relevant data, designs and drawings. Restrictions also apply to certain consultancy, services and methodologies relating to LTC performance. These provisions are intended to prevent technical partnerships from becoming a mechanism through which one constructor gains access to another constructor's protected technical knowledge.

The regulations additionally address reverse engineering. Under Article C17.2.3, a team may not design an LTC through the reverse engineering of another team's LTC. The regulations distinguish between information that is legitimately available to competitors and information obtained through methods intended to reconstruct another team's protected design. The FIA may therefore consider not only the final component but also the process through which its design was developed.

LTCs form part of a wider component classification system. Article C17.7 and Appendix C6 also identify categories including Standard Supply Components (SSCs), Transferable Components (TRCs), Free Supply Components (FSCs), Defined Specification Components (DSCs), Open Source Components (OSCs), and Not Transferable Open Source Components (OSCNTs). Each category is subject to its own regulatory requirements concerning matters such as design, manufacture, supply and intellectual-property rights. The classification of a component therefore plays an important role in determining what forms of technical cooperation are permissible.

The framework does not prohibit technical partnerships altogether. The 2026 regulations recognise Technical Partners and allow teams to outsource certain engineering and manufacturing activities, subject to requirements governing the relationship between the parties and the protection of intellectual property. Teams may also share certain facilities, including wind tunnels and dynamometers, where the relevant safeguards are in place to prevent the transfer of technical information between competitors.

This creates a balance between two competing objectives. Greater technical cooperation can reduce development costs, lower barriers to entry and allow smaller or newer teams to remain





competitive. However, excessive dependence on another constructor could weaken the distinction between independent teams and create opportunities for the transfer of valuable intellectual property.

The current FIA framework therefore attempts to regulate not only which components teams may obtain from outside sources, but also who designs those components, who controls their intellectual property and what technical information may pass between competitors. The framework is consequently central to determining how far a customer or technical partnership can extend without undermining the concept of an independent constructor.

The current framework differs significantly from the regulatory structure in place during the Racing Point RP20 controversy of 2020, which raised important questions about component classification, design ownership and the use of another team's technical information. Examining how the framework operates today provides the foundation for understanding the subsequent evolution of technical partnerships, enforcement mechanisms and the FIA's approach to intellectual-property disputes.

## The 2019-20 Brake Duct Loophole

The regulatory conflict involving the Racing Point RP20 centered on a specific legal transition in component classification between the 2019 and 2020 World Championships. In 2019, under Appendix 6 of the FIA Formula One Sporting Regulations, front and rear brake ducts were explicitly classified as Non-Listed Parts. Under this rulebook, competitors were legally allowed to exchange CAD drawings, physical components, tooling data, and manufacturing information for brake duct assemblies.

Under this legal framework, Racing Point received CAD data and physical examples of the Mercedes W10 front and rear brake ducts in 2019. Racing Point utilized this information to design its own 2019 brake ducts. Crucially, while Racing Point fitted and raced the Mercedes-derived front brake ducts on the RP19 during the 2019 season, they chose not to run the 2019 rear brake ducts on track, retaining their established high-rake rear brake duct geometry.

For the 2020 season, the FIA reclassified front and rear brake ducts as Listed Team Parts (LTPs), mandating that every competitor independently design and exclusively own the intellectual property for these assemblies. When Racing Point designed the RP20 for the 2020 season, they utilized the 2019 Mercedes W10 CAD data to construct both their front and rear brake ducts.

This sequence created a complex legal distinction evaluated by the FIA Stewards:

- 1 Front Brake Ducts: Because Racing Point had physically incorporated and raced the Mercedes-derived front brake ducts on the RP19 in 2019 (when brake ducts were Non-Listed Parts), those assemblies had legitimately entered Racing Point's historic design baseline. Consequently, the 2020 RP20 front brake ducts were deemed legally designed.
- 2 Rear Brake Ducts: Because Racing Point had not physically raced the rear brake ducts on the RP19 in 2019, the FIA Stewards ruled that the design of the 2020 RP20 rear brake ducts was drawn directly from Mercedes CAD data at a time when brake ducts had officially become Listed Team Parts. Although the physical hardware of the 2020 rear brake ducts complied fully with the 2020 Technical Regulations, the process of their design constituted a direct breach of the 2020 Sporting Regulations.

Stewards established the legal precedent that a component can be technically compliant as a physical object while simultaneously being sportingly illegal in its design provenance.





## Reverse-Engineering vs IP Transfer

Beyond the brake duct dispute, the broader paddock debate focused on how Racing Point replicated the remaining aerodynamic surfaces of the Mercedes W10, including the front wing, floor, sidepods, engine cover, and rear diffuser. Racing Point maintained throughout the investigation that it had not received unauthorized CAD drawings or digital files for the bodywork surfaces. Instead, the team asserted that it had used 2D-to-3D photogrammetry, taking high-resolution photographs of the W10 at race events and converting those images into 3D CAD surface meshes, which were subsequently validated in their wind tunnel.

This position was articulated publicly by Racing Point management during the 2020 controversy:

"It's our own design and it is our own development. It is our own wind tunnel model. It is our own concept. Yes, we look to see what is fast and we thought: that's fast, can we do the same."

— Otmar Szafnauer, Racing Point Team Principal, 2020

This statement reflected the traditional ethos of Formula One, where teams analyzed visual concepts introduced by competitors. However, the precision of the RP20 replication demonstrated that modern digital scanning tools had rendered traditional visual copying obsolete, transforming trackside observation into automated industrial reverse-engineering.

### Regulatory Categorization of Design Extraction Methods

| Engineering Category | Traditional Visual Copying (Permitted)                       | Banned Digital Reverse-Engineering (Post-2020)                               |
|----------------------|--------------------------------------------------------------|------------------------------------------------------------------------------|
| Data Acquisition     | Standard 2D trackside photography without depth mapping.     | High-resolution stereophotogrammetry and 3D stereoscopic imaging.            |
| Surface Extraction   | Manual CAD sketching based on visual interpretation.         | Software conversion of images into 3D point clouds, curves, or CAD surfaces. |
| Measurement Tech     | Observational scaling relative to known baseline references. | Contact or non-contact physical surface scanning.                            |
| CAD Integration      | Independent CFD and wind tunnel surface modeling.            | Projection of points or curves directly onto CAD geometry overlays.          |

To close this loophole, the World Motor Sport Council (WMSC) approved technical regulation amendments (originally introduced in 2021 as Article 22 and preserved under Article C17 of the 2026 rulebook) to explicitly ban digital reverse-engineering. The regulations prohibit four reverse-engineering methodologies for Listed Team Components:

- 1 Converting photographs or images into 3D point clouds, curves, or CAD surfaces using specialized software.
- 2 Operating stereophotogrammetry, 3D cameras, or stereoscopic imaging techniques at events or tests.
- 3 Utilizing contact or non-contact 3D surface scanning hardware on rival components.





- 4 Employing projection techniques that overlay points or curves on physical surfaces to facilitate geometry extraction.

Under this framework, if the FIA Technical Department identifies significant geometric similarities between Listed Team Components on rival cars, the burden of proof rests entirely on the competitor. The team must supply complete, verifiable historical CAD development records proving that the component was designed through independent engineering rather than automated digital extraction.

## Case Study: The Racing Point RP20

### The RP20 Protest and Stewards' Verdict

Following the 2020 Styrian Grand Prix, Renault DP World F1 Team lodged formal protests against the legality of the Racing Point RP20 rear brake ducts, extending the protest to the subsequent Hungarian and British Grand Prix. On August 7, 2020, the FIA Stewards published their decision, upholding Renault's protest regarding the rear brake ducts.

Stewards determined that while Mercedes had transferred the CAD data legally in 2019, Racing Point's use of that data to manufacture Listed Parts for the 2020 championship constituted an illegal transfer of engineering IP under the Sporting Regulations. The sanctions were structured as follows:

- Financial Sanction: Racing Point was fined €400,000 (€200,000 per car for the Styrian GP protest).
- Sporting Sanction: Racing Point was docked 15 Constructors' Championship points (7.5 points per car).
- Procedural Sanction: The team received formal reprimands for the Hungarian and British Grands Prix.

Crucially, the Stewards permitted Racing Point to continue competing with the offending rear brake ducts for the remainder of the 2020 season without requiring a physical redesign. The rationale was practical: because the parts physically complied with Technical Regulations, forcing a redesign would require Racing Point to "unlearn" the Mercedes geometry, an impossible operational task or build parts that were deliberately less safe or efficient. To finalize the dispute, the FIA grandfathered the RP20's existing baseline while codifying anti-copying regulations for future seasons.

The RP20 controversy fundamentally reshaped how Formula One categorizes vehicle hardware and audits intellectual property. Under Section C of the 2026 Technical Regulations, vehicle components are divided into five distinct operational classifications to eliminate grey zones between customer and supplier operations:

### Integration with the 2026 Cost Cap, Active Aerodynamics, and Digital Auditing

In 2026, component classification is closely aligned with the FIA Financial Regulations. Under the cost cap, unmonitored IP transfer between a works team and its technical partner represents a major vector for financial circumvention. If a primary constructor develops aerodynamic surface software, active aero deployment mapping, or complex composite tooling for a Listed Team Component (LTC) and indirectly shares that IP with a customer team, both entities bypass individual expenditure limits.

To police this, the FIA Technical Department and Cost Cap Administration employ digital auditing tools:





- Automated STEP/CAD Matching: Competitors must upload full 3D CAD geometric files of all LTCs to the secure FIA digital portal prior to race events. FIA software automatically overlays CAD files across all 10 teams to detect surface correlations that exceed statistical thresholds of independent development.
- Parc Fermé 3D Laser Scanning: FIA scrutineers utilize high-precision handheld 3D laser scanners in parc fermé to verify that physical car hardware matches the team's approved digital CAD submission, ensuring no undocumented aerodynamic modifications or third-party surface scans were integrated.

**Algorithm and Control Software Auditing:** With the 2026 regulations introducing active aerodynamics and adaptive hybrid energy deployment, the FIA inspects control software, telemetry mapping, and predictive simulation tools. Customer teams are legally prohibited from sharing active-aero control logic or predictive deployment algorithms with their power unit suppliers or technical partners.

## The B-Team / Customer Model

Formula 1 permits constructors to obtain certain components and technical services from outside parties, creating a range of customer-team, supplier and sister-team relationships. The terms customer team, B-team and sister team are commonly used in Formula 1, but they are not formal FIA classifications. The relevant regulatory question is whether a particular relationship complies with the FIA's rules governing component classification, design responsibility, intellectual property and technical cooperation.

### The Customer Model

The customer model exists partly because requiring every constructor to independently develop every component would significantly increase the financial and technical resources required to compete in Formula 1. Permitted component supply can lower barriers to entry, allow teams to access specialist expertise and enable constructors to focus their resources on areas in which they choose to develop their own technology.

The regulatory basis for customer-supplied components depends on their classification under Article C17 and Appendix C6 of the 2026 Technical Regulations. Where a component is classified as a Transferable Component (TRC) or Free Supply Component (FSC), Article C17.4 establishes the rules governing its supply between a Supplying Team and a Customer Team. The relevant components and their classifications are identified through Appendix C6, "Components' Classification and Perimeter." These provisions allow certain components to be supplied between constructors while placing limits on how such components may be designed or modified for the customer.

### Haas–Ferrari: An Evolving Customer Relationship

The Haas–Ferrari relationship provides an example of a constructor making substantial use of permitted components from another manufacturer. Haas's 2026 VF-26 uses a Ferrari power unit, transmission and steering system, among other externally supplied equipment.

The regulatory basis for any individual customer-supplied component depends on its classification under Article C17 and Appendix C6; a component should not be assumed to be a TRC or FSC without reference to that classification. Where TRC or FSC rules apply, Article C17.4 governs the relationship between the supplying and customer teams.





However, the modern Haas model is not simply a continuation of its earliest customer-team structure. Haas also has a major technical relationship with Toyota Gazoo Racing (TGR), which expanded into a title partnership for 2026. Haas describes the partnership as providing design, technical and manufacturing support, engineering resources and other capabilities.

Haas therefore illustrates how a constructor can combine customer-supplied components with multiple external technical relationships, rather than relying exclusively on one manufacturer. This raises the question of how the FIA should regulate teams whose technical development is distributed across several external organisations.

### **Racing Bulls–Red Bull: The Sister-Team Model**

The relationship between Racing Bulls and Red Bull Racing represents a different type of technical relationship. The two are separate F1 constructors operating within the wider Red Bull organisation and are commonly described as sister teams. In 2026, both teams receive their power units from Red Bull Ford Powertrains.

Their shared power-unit supplier does not by itself make Racing Bulls a customer of Red Bull Racing. Instead, the relationship raises a broader regulatory question: how closely can two constructors be connected through common ownership, suppliers, facilities or other technical relationships while remaining separate competitors?

The FIA's regulations provide safeguards for such situations. Article C17.1.8 permits certain shared facilities, including wind tunnels and dynamometers, while requiring safeguards against the transfer of intellectual property through shared personnel and restricting access to testing data and results. Such arrangements must also be declared to the FIA. Article C17.1.9 places additional restrictions on third parties carrying out work on LTC, TRC and FSC components, including restrictions designed to prevent intellectual-property transfer between competing teams.

Racing Bulls therefore provides a useful case study of the regulatory challenge created when two constructors have a particularly close organisational and technical relationship.

### **Cadillac–Ferrari: Customer Supply and New Entry**

Cadillac's entry into Formula 1 in 2026 provides another example of the role customer supply can play in bringing a new constructor onto the grid. Cadillac initially uses Ferrari power units and gearboxes, while General Motors develops its own Formula 1 power-unit programme for a planned 2029 introduction. The FIA has approved GM Performance Power Units as an official Formula 1 power-unit supplier from 2029.

The regulatory treatment of Cadillac's individual components depends on their classification under Article C17 and Appendix C6. The example nevertheless demonstrates how a new constructor can combine independently developed systems with externally supplied components during its initial years.

This creates a policy trade-off. Stricter limits on customer relationships could strengthen technical independence, but could also increase the financial and engineering resources required for new teams to enter Formula 1.





### Technical Partners and Outsourced Work

Component supply is only one form of technical cooperation. The 2026 regulations separately recognise a Technical Partner under Article C17.1.10. The FIA-defined Technical Partner relationship is subject to requirements concerning its relationship with the FI Team, declaration to the FIA and FIA approval. A team remains responsible for compliance with the applicable regulations when work is undertaken through such an arrangement.

The regulations also govern outsourced engineering and manufacturing. Under Article C17.1.9, work on LTC, TRC and FSC components may be carried out by third parties only under specified conditions. Among other restrictions, the relevant third party cannot simply be another FI Team or a Related Party of another FI Team, and safeguards must exist to prevent intellectual-property transfer. These arrangements should therefore be distinguished from one another. Customer-component supply, outsourced work, Technical Partnerships and shared facilities are separate mechanisms within the regulatory framework, even though a modern constructor may use several of them simultaneously.

### Customer Relationships and Constructor Independence

The customer model therefore creates a balance between technical independence and practical cooperation. Greater cooperation can lower costs, facilitate new entries and allow teams to access specialist expertise. However, extensive technical dependence can also reduce the amount of independent development taking place within a constructor and create additional opportunities for intellectual-property transfer.

The current FIA framework already establishes boundaries around component classification, component supply, outsourcing, technical partnerships and intellectual-property protection. The issue for the committee is therefore not whether customer relationships should exist, but whether the present limits on technical dependence remain appropriate for modern Formula 1.

The examples of Haas–Ferrari and Toyota, Racing Bulls–Red Bull, and Cadillac–Ferrari demonstrate different forms and purposes of technical cooperation on the 2026 grid. Examining these relationships provides a basis for considering whether the FIA's current framework strikes an appropriate balance between cost efficiency, accessibility, technical independence and sporting integrity.

## Enforcement and Auditing

The FIA's Listed Team Components framework is supported by several mechanisms intended to ensure that teams comply with the rules. These include technical scrutineering, information requirements, restrictions on intellectual-property transfer and procedures for investigating suspected violations. However, enforcing these rules can be more complicated than simply checking whether a component meets a technical specification.

### Technical Scrutineering

The FIA's primary method of checking compliance is technical scrutineering. Under Article B1.2.3 of the 2026 Sporting Regulations, the FIA Technical Delegate is responsible for scrutineering and can conduct checks to verify whether cars comply with the regulations. Article B3.1 establishes the procedures for scrutineering during a Competition.

These checks allow the FIA to examine whether a car and its components comply with the Technical Regulations. However, a physical inspection cannot necessarily establish how a component was developed.





Two teams could therefore produce similar components independently, meaning that similarity alone does not necessarily demonstrate a violation.

### Investigating Intellectual-Property Violations

The FIA's enforcement of the LTC rules can extend beyond inspecting the finished component. In particular, Article C17.2.3(e) requires FI Teams to provide the FIA, upon request, with data or other information required to demonstrate compliance with the reverse-engineering provisions.

This is particularly important when investigating whether a suspiciously similar component was independently developed or resulted from prohibited reverse engineering.

The FIA can therefore consider how a component was developed, rather than relying solely on the appearance of the finished component.

### Reverse Engineering

The difficulty is particularly clear when two teams produce similar designs.

For example, imagine that Team A develops a new LTC and Team B later produces a similar component.

There are two possible explanations:

- i Independent development  
Team B observes information legitimately available to competitors → its engineers develop their own solution → the final component happens to resemble Team A's.
- ii Prohibited reverse engineering  
Team B obtains information about Team A's component through a prohibited method → uses that information to recreate the design → incorporates the resulting design into its own LTC.

Article C17.2.3 specifically prohibits teams from designing LTCs through prohibited reverse-engineering methods. These include certain forms of image-to-CAD conversion, stereophotogrammetry, 3D cameras and surface scanning.

The same article provides that where isolated features of two teams' LTCs closely resemble one another, the FIA determines whether the resemblance resulted from reverse engineering or legitimate independent work.

This makes the question of how a component was developed particularly important when investigating a suspected violation.

### Technical Partnerships and Shared Facilities

Enforcement can become more complicated when teams work with external organisations.

Article C17.1.8 establishes safeguards for certain shared facilities. These safeguards are intended to prevent intellectual-property transfer through common personnel and regulate access to data and experimental results.

Article C17.1.9 regulates certain outsourced engineering and manufacturing work involving LTCs, TRCs and FSCs. It restricts which third parties may perform this work and requires processes designed to prevent the transfer of a team's intellectual property to another FI Team or its Related Party. Where required, teams must make their best efforts to allow the FIA to examine these processes for auditing or investigations.





The regulations also address personnel movement. Article C17.1.4 prevents teams from using the movement of personnel between teams, directly or through external organisations, for the purpose of circumventing Article C17.

Together, these provisions create safeguards around several potential routes through which technical information could move between competitors.

### Competitor Protests

Teams can also contribute to enforcement through the FIA's protest system. Article B1.11 establishes the framework for protests, appeals and petitions for review.

This allows competitors to raise concerns when they believe another team may have breached the regulations.

However, intellectual-property disputes can be more difficult to establish than straightforward technical infringements. A team may notice that a rival's component appears unusually similar to its own without having access to the information needed to determine how that similarity arose.

Identifying a suspicious design and proving a regulatory violation are therefore not necessarily the same thing.

### The Current Enforcement Framework

The FIA already has several mechanisms for enforcing the LTC framework:

- Technical scrutineering to examine cars and components;
- Information requirements, particularly in investigations under C17.2.3;
- Rules against prohibited reverse engineering;
- Safeguards for shared facilities and outsourced work;
- Restrictions on transferring LTC-related information; and
- Protest procedures through which competitors can raise potential violations.

The challenge is therefore increasingly one of practical enforcement. As teams develop closer relationships with suppliers, Technical Partners and other organisations, the FIA must ensure that these relationships do not become a means of circumventing the LTC and intellectual-property rules.

### Areas for Reform

The existing framework provides a foundation for enforcement, but the committee may consider whether it should be strengthened as technical relationships become more complex. Possible reforms could include stronger documentation requirements for LTC development, greater oversight of certain technical partnerships, additional safeguards for shared facilities, or clearer procedures for investigating suspected intellectual-property violations.

At the same time, greater oversight could increase administrative costs and require teams to provide more commercially sensitive information to the FIA.

The challenge is therefore to maintain a system that provides effective enforcement and sporting fairness without placing unnecessary restrictions on legitimate technical cooperation or exposing teams' intellectual property.





## Penalty Philosophy and Deterrence

Penalties are an important part of maintaining compliance with the FIA's regulations. In the context of Listed Team Components, they serve both to address violations that have occurred and discourage teams from deliberately circumventing the regulations.

The 2026 FIA F1 Regulations establish a framework for determining sanctions. Article A7.12 sets out the sanctions framework, while Article A7.12.6 allows the FIA to publish sanctioning guidelines intended to promote consistent and proportionate penalties. However, Stewards and FIA Courts retain discretion to depart from the guideline ranges. Article A7.12.7 also requires aggravating and mitigating circumstances to be considered.

### The Racing Point Precedent

The 2020 Racing Point RP20 controversy provides an important historical example of how the FIA approached a Listed Parts-related violation.

The FIA Stewards found that Racing Point's rear brake ducts complied with the relevant technical requirements, but that the process through which they were designed breached the applicable Sporting Regulations. Racing Point received a €400,000 fine and a 15-point deduction from the Constructors' Championship in relation to the Styrian Grand Prix case. Later uses of the same design resulted in further reprimands.

Importantly, Racing Point was allowed to continue using the brake ducts. The case therefore demonstrated that a technical violation does not necessarily result in the immediate removal of the component from the car. A sporting or financial sanction can instead be imposed for the regulatory breach.

### Proportionality

Penalties must take into account the circumstances of the violation. Article A7.12.7 requires aggravating and mitigating factors to be considered. These include factors such as failure to cooperate, bad faith, dishonesty, wilful concealment, previous breaches and the seriousness of the violation.

This is particularly relevant to LTC violations. A deliberate attempt to circumvent the regulations could present different circumstances from a breach resulting from an unclear interpretation of the rules or an unintended mistake.

The current framework therefore allows sanctions to reflect both the nature of the violation and the circumstances surrounding it.

### Punishment and Deterrence

A penalty can serve two purposes.

Punishment addresses a violation that has already occurred.

Deterrence aims to discourage teams from committing similar violations in the future.

This creates a challenge for LTC-related violations. If circumventing the regulations could provide a significant competitive advantage while carrying only a limited penalty, the penalty may not provide a strong enough deterrent.

At the same time, excessively severe penalties could be disproportionate, particularly where a violation was not deliberate.





The objective is therefore to establish penalties that are serious enough to discourage deliberate violations while remaining proportionate to the circumstances of the breach.

### Consistency and Precedent

Consistency is also important. Teams are more likely to view the regulatory system as legitimate when similar violations receive reasonably comparable treatment.

The Racing Point case can therefore provide a useful historical precedent, but its penalty should not automatically become the standard for every future LTC violation. Future cases may involve different circumstances and different degrees of seriousness.

The current FIA framework addresses this by providing sanctioning guidelines while retaining discretion for the Stewards and FIA Courts.

### Areas for Reform

The existing framework gives the FIA considerable flexibility when determining sanctions. The committee may nevertheless consider whether penalties for serious LTC and intellectual-property violations should become more predictable.

Possible approaches could include:

- establishing clearer penalty ranges for different categories of LTC violations;
- distinguishing between different levels of seriousness;
- increasing penalties where a violation provides a significant competitive advantage;
- applying sporting penalties more consistently for serious breaches; or
- introducing stronger consequences for deliberate or repeated violations.

However, stronger penalties could also become disproportionate or discourage legitimate technical cooperation.

The challenge is therefore to create a system that provides effective deterrence while remaining proportionate, consistent and predictable.

## Sporting Integrity vs Commercial Reality

Formula One must strike a balance between maintaining sporting fairness and addressing the commercial pressures of championship competition. The Listed Parts framework aims to ensure constructors retain independent areas of technical development while preventing teams from improperly using another constructor's intellectual property. However, overly strict limits on technical cooperation could raise development expenses and place additional pressure on smaller teams.

Customer partnerships can offer genuine financial and technical advantages. By purchasing permitted components, smaller constructors can avoid unnecessary duplication of development work and concentrate their resources on areas where independent innovation is required. Nevertheless, extensive cooperation may raise concerns about whether teams are truly operating as independent competitors, especially when their cars display substantial technical similarities.

The Racing Point RP20 controversy highlighted this conflict. Although Racing Point and Mercedes cooperated within certain permitted areas, the dispute surrounding the brake ducts raised concerns about when acceptable cooperation crossed into the improper use of another





constructor's technical knowledge. The FIA must therefore protect fair competition while ensuring that its regulations do not make participation unnecessarily costly for smaller teams.

## Stakeholder Perspectives & Bloc Positions

### The Manufacturer Suppliers (Works Constructors)

These vertically integrated constructors independently design, manufacture, and homologate both their chassis and proprietary power units. They possess unparalleled infrastructural capabilities, enabling them to maximize the \$215 million cost cap through vast economies of scale. Their primary strategic objective is to preserve the existing component classification framework, which allows them to syndicate non-aerodynamic structural assemblies such as gearboxes and rear suspensions to affiliated customer teams. This syndication offsets their internal research and development expenditures and grants them immense political and developmental leverage.

### The Customer Teams

Devoid of the sprawling manufacturing campuses maintained by the works teams, these constructors rely existentially on technical partnerships with the major manufacturers. They survive by purchasing pre-developed Transferable Components (TRCs) at fixed transfer prices. Their operational viability is tethered to regulations that permit the acquisition of high-performance assemblies. Any regulatory shift that mandates total engineering independence would threaten to push these constructors beyond the financial parameters of the cost cap.

### The Independent Constructors

These constructors operate as independent aerodynamic and chassis designers, manufacturing their internal vehicle architecture while purchasing power units from external suppliers. Possessing robust internal manufacturing capabilities, they vehemently oppose the customer-team paradigm. They actively lobby the FIA for a stringent expansion of the components that teams must design in-house, seeking to dismantle the proxy developmental advantages enjoyed by the works-customer alliances.

### The FIA Technical Department and Cost Cap Adjudication Panel

They operate as the regulatory authorities, these institutional bodies are tasked with the highly complex mandate of policing intellectual property transfer, enforcing operational shutdown periods, and monitoring the financial compliance of all eleven constructors. The Cost Cap Adjudication Panel, an independent group of twelve judges elected by the FIA General Assembly, bears the responsibility of penalizing financial breaches. These regulatory bodies must continuously balance the commercial necessity of the customer-team model against the fundamental sporting requirement that Formula One remains a championship of distinct, independent engineers.

## QARMA (Questions a Regulation Must Answer)

The Pink Mercedes problem is not a single question but a series of interlocking ones, spanning component classification, provenance, financial circumvention, and the limits of enforcement. The following are not exhaustive. They are the questions any credible regulation must take a position on.

### Classification and the Listed-Parts Register





- Should the boundary between Listed Team Components and the transferable, standard-supply and open-source categories be drawn as a fixed schedule or as a principle-based test, given that the RP20 loophole turned on a component, the rear brake ducts, that had simply not yet been elevated to the register?
- When a component is reclassified as an LTC between seasons, should a design baseline lawfully established under the old classification carry forward, or must the team re-originate the design, and who absorbs the cost of that "unlearning"?

### **Provenance and the Burden of Proof**

- Where should the line fall between information legitimately available to competitors and prohibited extraction, now that photogrammetry and point-cloud tools make trackside observation functionally equivalent to receiving a rival's CAD data?
- Should the entire burden of proof continue to rest on the accused team to supply verifiable historical development records, and what threshold of surface correlation should automatically trigger that obligation?
- Should software provenance, meaning active-aero control logic and predictive energy-deployment algorithms, be policed under the same framework as physical geometry, given that CAD-overlay audits cannot detect it?

### **Cost-Cap Circumvention**

- When IP flows between a works team and its customer, should the shared development be costed against both entities, and what valuation method prevents a constructor from amortising R&D across affiliated entries?
- Should a proven IP-transfer breach carry a Financial Regulations penalty in addition to a sporting one, given that in 2026 the primary damage is cost-cap circumvention rather than pure on-track advantage?

### **The Sister-Team and Customer Boundary**

- How closely may two constructors be connected through common ownership, shared power unit, shared wind tunnel or personnel movement before they cease to be separate competitors, as the Racing Bulls-Red Bull relationship forces the FIA to decide?
- Should the framework regulate a team whose development is distributed across several external organisations, such as Haas across Ferrari and Toyota, where no single relationship breaches the rules but the aggregate erodes independence?

### **Remedy, Penalty and the New-Entrant Trade-off**

- Should a component that is technically legal but illegitimate in its provenance ever be permitted to keep racing, as RP20's brake ducts were, or must serious breaches now trigger mandatory physical redesign?
- Should the FIA fix predictable penalty bands for defined categories of LTC violation, or preserve full steward discretion, and does the €400,000 / 15-point RP20 outcome become a floor, a ceiling, or an irrelevance for future cases?
- If the register is expanded to force greater in-house design, how should the FIA avoid pricing out new entrants such as Cadillac, whose viability depends on customer supply until GM's own power unit arrives in 2029?





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# Agenda B

**Reforming the driver-development pathway: direct constructor investment in Formula 2 and reform of the super licence and promotion framework.**





## Introduction to the Agenda

Formula One is the highest tier of single-seater racing, but reaching the championship usually requires drivers to progress through a long development system. Most begin in karting before moving through junior single-seater categories, Formula 3 and eventually Formula 2. F2 serves as one of the final competitive stages before Formula One, allowing drivers to demonstrate racecraft, consistency, technical understanding and the ability to perform under pressure.

The FIA Formula 2 Championship is officially sanctioned by the FIA and has separate championships for drivers and teams. Its position within the junior ladder makes it particularly important because results in F2 contribute significantly to a driver's eligibility for a Formula One Super Licence. Under the 2026 FIA points system, the top three F2 finishers each receive 40 Super Licence points, while fourth and fifth receive 30 and 20 respectively. However, eligibility does not guarantee an opportunity. A driver may qualify for a Super Licence while still finding that every F1 seat is occupied.

This creates the central problem of the agenda: the FIA has established a system for identifying and qualifying talent, but the final transition into Formula One remains dependent on constructor decisions, available seats, financial backing and relationships within the driver market.

An increasingly important part of this process is the growth of Formula One team's driver-development academies. These programmes can identify drivers well before they reach F2 and provide funding, coaching, simulator work, testing and professional support. For constructors, academies create a long-term talent pipeline and allow teams to develop drivers according to their own technical and sporting requirements. For drivers, they can reduce the financial barriers associated with junior motorsport and provide access to opportunities that would otherwise be difficult to obtain.

The academy system, however, creates a second pathway alongside the formal FIA ladder. A driver can perform well in F2 and accumulate Super Licence points, but another driver with a strong constructor relationship may have greater access to testing, reserve roles and future F1 opportunities. The question therefore becomes whether sporting results alone provide a sufficiently strong route into Formula One, or whether modern progression inevitably requires institutional backing from an F1 team.

The issue is further complicated by the limited number of F1 seats. Even a strong academy system cannot create additional positions on the grid. When vacancies are scarce, successful junior drivers may instead move into reserve and development roles or seek opportunities in other championships. Formula E has increasingly become one such destination. The current 2025/26 Formula E grid includes former F2 competitors and former F1 drivers, while 2025 F2 graduate Josep María Martí moved directly into Formula E after two seasons in F2. This demonstrates that the development pathway does not end when a driver fails to obtain an F1 seat; it can branch into other forms of professional motorsport.

This creates an important policy question for the FIA. Should the objective be to make Formula One the only meaningful destination for successful junior drivers, or should the wider motorsport ecosystem provide credible alternative professional routes? A healthy pathway may need to recognise that drivers can have successful careers in Formula E, endurance racing, IndyCar, Super Formula and other categories even when an F1 seat is unavailable.





The issue is therefore not simply whether constructors should invest in F2. It concerns the entire transition from junior racing into professional motorsport: the role of F1 driver academies, the Super Licence, the availability of F1 seats, reserve and testing programmes, and alternative championships such as Formula E.

The FIA must decide whether the existing market-based system is sufficient, whether constructors should take greater responsibility for developing future drivers, and whether the regulatory framework should do more to ensure that talented drivers have meaningful opportunities even when Formula One seats are limited. The central challenge is to create a pathway in which sporting performance remains important without removing the legitimate freedom of constructors to select their drivers.

## Historical Context

The current FIA Formula 2 Championship was introduced in 2017, replacing the GP2 Series. Its creation aimed to strengthen the connection between the FIA's junior single-seater categories and Formula One while establishing a clearer route for drivers seeking to reach the highest level of the sport.

The first seasons of modern F2 demonstrated that the championship could successfully develop Formula One talent. Charles Leclerc won the inaugural title in 2017 before progressing to F1, while George Russell became champion in 2018 and later secured a Mercedes race seat. Other champions, including Nyck de Vries, Mick Schumacher, Oscar Piastri and Felipe Drugovich, further demonstrated that F2 could produce drivers capable of competing at the highest level.

However, these successes also exposed a structural weakness: winning F2 does not guarantee an immediate Formula One seat. Oscar Piastri is a notable example. Following his 2021 F2 championship, he did not immediately obtain an F1 racing seat and instead became an Alpine reserve driver before eventually moving to McLaren. His later success in Formula One showed that the absence of an immediate opportunity was not necessarily evidence of insufficient ability.

As F2 developed, Formula One teams increasingly established or expanded driver-development academies. These programmes created a parallel route alongside the formal FIA ladder. The sporting route is primarily determined by results and Super Licence points, while the academy route is influenced by a driver's relationship with a particular constructor. Academy support can include funding, simulator work, coaching, testing, factory programmes and access to F1 practice or reserve opportunities.

The importance of these programmes has become particularly visible in the modern F1 environment. Young drivers can spend several seasons inside a constructor's system before receiving an F1 opportunity, and teams can use reserve roles and practice sessions to evaluate drivers before committing to a full-time seat. In 2026, Formula 1 teams continued to use rookie FP1 sessions and reserve-driver programmes as part of the development process. These mechanisms show that progression into F1 is increasingly more than a simple F2 championship result followed by a race seat.

The financial side of junior racing also helped drive the growth of academies. Moving through karting, Formula 3 and F2 requires significant resources, and drivers without family wealth or major sponsorship can struggle to remain on the ladder. Constructor academies can reduce this barrier by providing financial and technical assistance. However, this also creates a concern over whether access to Formula One is becoming increasingly dependent on being selected by an F1





organisation at an early stage.

The distinction between sporting eligibility and actual opportunity therefore became increasingly important. The Super Licence system can determine whether a driver is qualified to compete in Formula One, but it does not require a constructor to select that driver. A driver can achieve the required points and still remain outside the grid because of contracts, seat availability or team preferences.

This branching of the pathway changes the meaning of the "driver pathway". Historically, the junior ladder could be viewed as a relatively linear route towards F1. Today, it increasingly resembles a network of routes: F2 can lead to an F1 seat, a constructor academy, a reserve role, Formula E, endurance racing or another professional category. This may reduce the pressure on Formula One to absorb every successful junior driver, but it also raises questions about whether drivers who have accumulated Super Licence points are being given a genuine opportunity to reach the category for which those points qualify them.

The growth of F1 academies also creates a question of competitive balance. A well-funded academy can support drivers across multiple categories and retain them within a constructor's system for years. Independent drivers may have fewer opportunities to test, access simulators or build relationships with F1 teams even when their results are comparable. The FIA therefore faces a choice between allowing constructors to develop talent according to their own strategies and intervening to ensure that the junior ladder remains accessible to drivers outside those programmes.

The history of modern F2 consequently demonstrates both the success and the limitations of the existing system. The championship has produced many Formula One drivers, while the Super Licence provides an objective eligibility mechanism. At the same time, constructor academies and alternative championships have become increasingly important in determining what happens after F2.

The current policy debate is therefore broader than the question of direct constructor investment in F2. The FIA must consider whether it should regulate or encourage academy participation, how reserve and testing opportunities should function, and how alternative professional destinations such as Formula E fit into the overall driver-development system.

## **The Super Licence Points System**

To drive in Formula 1, talent alone isn't enough; you need the correct paperwork. The FIA Super Licence is essentially the ultimate driving credential, requiring a driver to accumulate 40 points over a three-year period by competing in approved junior racing categories. Originally revamped in 2015 to stop underprepared drivers from buying their way into F1, the system has constantly needed tweaks to stay relevant. As we navigate the 2026 season, the FIA has made some massive changes to make the system fairer on a global scale.

The IndyCar Course Correction For years, drivers and fans complained that the Super Licence system heavily favored European junior series while severely undervaluing North America's premier open-wheel championship, the NTT IndyCar Series. This frustration peaked when multiple-time IndyCar race winner Colton Herta was blocked from entering F1 because he didn't have enough points.

To fix this glaring issue, the FIA finally updated the IndyCar points allocation starting in 2026 to "reflect the growing significance of the category". While the champion and runner-up still get 40 and 30 points respectively, the drivers finishing in the rest of the top ten received a massive





boost. For example:

- 3rd Place: Now gets 25 points (up from 20)
- 4th Place: Now gets 20 points (up from 10)
- 5th Place: Now gets 15 points (up from 8)
- 6th to 9th Place: All saw their points increased, with 9th place now offering 3 points.

Ironically, because this change isn't retroactive for previous seasons, it didn't immediately grant Colton Herta his Super Licence. Driven by his ultimate F1 dream, Herta actually made a shock move to Europe in 2026 to compete in the FIA Formula 2 Championship with Hitech Grand Prix. He is dovetailing this F2 campaign with his role as a Test Driver for the newly entered Cadillac Formula 1 Team, where he is scheduled to run four Free Practice 1 (FP1) sessions, starting at the Barcelona-Catalunya Grand Prix.

**Integrating F1 Academy and Cracking Down on Loopholes** In a huge win for female driver development, the F1 Academy has now been officially integrated into the Super Licence points system.

The 2025 champion Mercedes-backed Doriane Pin was awarded 10 points for her dominant season, while the runner-up took 7, and third place took 5. This is a massive institutional stepping stone that mathematically connects the all-female series to the main F1 ladder.

On the flip side, the FIA has cracked down on "point-farming." In the past, drivers would head to condensed winter series in the Middle East or Oceania to easily scoop up 18 points against smaller grids before the summer season even started. In 2026, the FIA officially downgraded these short winter campaigns to "Regional Trophies," slashing the winner's reward down to just 6 points to force drivers back onto the traditional, season-long development ladders. Furthermore, the stewards have taken a much more relaxed approach to penalty points on a driver's Super Licence, ensuring they are only handed out for genuinely reckless driving; in fact, early in the 2026 season, not a single penalty point had been issued.

## The Structural Bottleneck

The pathway to Formula 1 is structured as a progression through increasingly competitive categories, with drivers commonly moving from Formula 4 and Formula Regional to FIA Formula 3 and then FIA Formula 2. F2 is intended to serve as the final major step before Formula 1, while programmes such as F1 Academy provide additional entry and development opportunities. However, progression through these categories does not guarantee an F1 seat.

### Limited Number of F1 Seats

The most fundamental bottleneck is the limited number of available F1 seats. With Cadillac's entry, the 2026 grid consists of 11 teams and 22 cars. Meanwhile, drivers continue to enter the pathway through F4, Formula Regional, F3 and F2 each year.

Consequently, a driver can perform successfully in F2 and meet the requirements to compete in Formula 1 while still having no available seat. A Super Licence establishes eligibility, but it does not guarantee an opportunity to race.

This creates an important distinction between being qualified for Formula 1 and having an opportunity to compete in Formula 1.





### **Funding and Access**

Progression through the junior categories also depends heavily on financial resources. Although F2 and F3 use standardised machinery to reduce the influence of technological differences, competing in these championships still requires substantial funding.

Drivers may rely on a combination of family funding, sponsorship, national programmes or F1 driver academies. F1 academies can provide financial support, testing, coaching and access to an F1 team's resources, giving their drivers opportunities that may be more difficult for independently funded drivers to obtain.

This creates a potential cycle in which a driver needs funding to obtain a competitive seat, but also needs strong results to attract the funding required to continue progressing.

### **Timing, Visibility and F1 Academies**

Even a successful F2 driver must attract the attention of an F1 team and reach the right point in their career when a seat becomes available. F1 academies can provide drivers with additional testing, simulator work, coaching and exposure to their associated F1 teams.

This can create differences between drivers who have direct support from an F1 constructor and those who progress independently. However, academy membership does not guarantee an F1 seat, and independent drivers can still reach Formula 1.

The timing of a driver's performance can also be important. A driver may be ready to progress from F2 at a time when existing F1 drivers have contracts and no seats are available. Waiting another season may then require the driver to secure additional funding and maintain competitive results while remaining in the junior system.

### **The F1 Academy Progression Gap**

F1 Academy represents a separate part of the driver-development pathway. Launched in 2023, it is designed to increase opportunities for female drivers and help them progress into higher levels of single-seater racing. The cars are approximately Formula 4-level machinery, meaning that significant progression remains necessary before a driver reaches FIA F3 or F2.

The series has provided funded progression opportunities for its champions. Marta García received a fully funded FRECA seat for 2024, while Abbi Pulling received a funded GB3 opportunity for 2025.

However, as of 2026, no F1 Academy graduate has yet competed in FIA Formula 3 or FIA Formula 2. Its graduates have instead progressed through intermediate categories such as FRECA and GB3.

This means that F1 Academy has demonstrated an ability to create opportunities at the lower levels of the pathway, but its ability to consistently move successful drivers into the upper levels of international single-seater racing remains unproven.

There is also debate over the physical transition between the categories. F2 and F3 do not use power steering, while F1 cars do. F1 Academy Managing Director Susie Wolff has argued that introducing power steering in F2 and F3 could make the transition more accessible for female drivers. This remains a point of disagreement within the sport rather than an established conclusion.

### **A Multi-Stage Bottleneck**

The driver-development system therefore contains several interconnected barriers:





- Financial access can determine whether a driver is able to participate long enough to demonstrate their ability.
- Team resources can influence performance even within specification-based championships.
- Visibility and academy support can affect access to testing, coaching and relationships with F1 teams.
- Timing can determine whether an F1 seat is available when a driver is ready to progress.
- The limited number of F1 seats ultimately restricts how many drivers can reach the top of the pathway.

For female drivers, the transition from F1 Academy into the higher single-seater categories creates an additional challenge, with the physical demands and financial requirements of the upper categories remaining significant considerations.

The result is that performance alone does not determine progression through the driver-development pathway. A driver's ability must be demonstrated within a system shaped by funding, team resources, development opportunities, timing and the availability of F1 seats.

## Economics of Formula 2

Formula 2 is designed to provide a competitive and relatively cost-controlled environment for drivers preparing for Formula 1. Unlike Formula 1, where teams independently develop their cars, F2 uses standardised machinery and limits the extent to which competitors can pursue their own technical development. The championship's structure is intended to control costs while keeping driver performance central to the competition.

However, cost-controlled does not mean inexpensive.

### Where the Costs Come From

F2 teams still have to cover the costs of operating an international racing programme, including cars and replacement parts, engines and other supplied components, tyres, fuel, personnel, engineering, transport and race-weekend operations.

The standardised nature of F2 limits how much teams can spend developing their own technology, but it does not eliminate the underlying costs of running a professional racing team.

The 2026 championship consists of 11 teams and 22 drivers competing across 14 rounds, requiring teams to maintain operations throughout an international calendar.

### The Cost of Reaching F2

The financial barrier also affects drivers themselves.

Drivers can rely on combinations of:

- family or personal funding;
- sponsorship;
- commercial backing;
- national or sporting programmes; and
- F1 driver academies.

There is no single official FIA price for an F2 seat, and the amount required can vary between teams and circumstances. Nevertheless, participating at this level requires substantial financial





resources.

This creates a potential barrier for drivers who perform well in lower categories but cannot secure enough funding to continue into F2.

### **Cost Control vs. Accessibility**

F2's standardised structure reduces the incentive and ability for teams to compete through expensive technological development.

However, reducing the cost of operating the championship is not necessarily the same as making participation affordable for every talented driver.

A driver can therefore face a situation where they have demonstrated sufficient ability to progress from F3 but cannot continue their development without additional financial support.

### **Team Resources in a Spec Series**

Standardised machinery reduces technological differences between teams, but it does not make every team identical.

Teams still differ in areas such as:

- engineering;
- car setup;
- data analysis;
- race strategy;
- tyre management;
- preparation; and
- race operations.

As a result, championship results remain an important indicator of driver performance, but they are produced within a driver-team combination rather than by the driver entirely independently of their team.

This does not mean that F2 fails to measure driver ability. Rather, it highlights one limitation of interpreting championship results as a perfect measurement of individual talent.

### **The Funding Cycle**

Financial backing can create a cycle within the junior pathway.

A driver needs an F2 seat to demonstrate their ability.

Obtaining that seat requires funding.

Strong results can then help attract sponsors, academy support or further investment.

A driver without sufficient initial funding may therefore have difficulty reaching the stage at which they can demonstrate their ability at the F2 level.

### **Existing Financial Support**

The sport has already introduced measures intended to reduce this barrier.

From the 2025 FIA Formula 3 season, a €1 million prize fund was introduced for the top five drivers in the F3 Drivers' Championship. The fund is divided into €300,000 for the champion,





€250,000 for second, €200,000 for third, €150,000 for fourth and €100,000 for fifth. The money is intended to support their move into F2 the following season.

This is significant because it demonstrates that the financial transition between junior categories is recognised as an issue within the current development pathway.

However, the prize fund is financial assistance rather than a complete funding solution.

### **F1 Academies**

F1 driver academies provide another potential source of financial and developmental support. Selected drivers may receive funding, coaching, simulator work, testing and access to an F1 team's resources.

This can reduce the financial burden on individual drivers, but academy places are limited. Drivers outside these programmes may therefore have to rely more heavily on private or commercial funding.

This raises a broader question about whether access to an F1-backed development programme should play such a significant role in determining which drivers can remain in the pathway.

### **Why the Economics Matter**

The financial structure of F2 affects more than individual team budgets.

If talented drivers cannot afford to enter or remain in F2, they may leave the development pathway before reaching the stage at which F1 teams can properly evaluate them.

At the same time, F2 teams must remain financially sustainable. Excessive cost-cutting could affect the quality of the championship, while excessive spending could make participation increasingly inaccessible.

The challenge is therefore to maintain a championship that is:

- competitive enough to prepare drivers for Formula 1;
- financially sustainable for teams;
- accessible enough for talented drivers; and
- independent enough that opportunities are not determined solely by access to an F1 constructor.

### **Relevance to the Agenda**

The economics of F2 provide a possible justification for greater constructor involvement in driver development. Direct investment could provide additional funding for drivers and potentially reduce the number of talented drivers who leave the pathway because of financial constraints.

However, greater constructor involvement could also create new concerns. If F2 became heavily dependent on F1 teams for funding, drivers without constructor backing could potentially find themselves at a disadvantage.

The economic question is therefore not simply how to make F2 cheaper, but who should bear the cost of developing future F1 drivers and how that cost should be distributed without undermining competition or independence.





## Direct Investment in F2

In the old days of motorsport, young drivers had to hustle to find their own independent sponsors to fund their rides with privateer junior teams. Today, Formula 1 teams have effectively corporatized the entire junior ladder. Instead of waiting for talent to arrive at their doorstep, F1 constructors are directly investing millions into Formula 2, Formula 3, and F1 Academy to monopolize driver development.

### The F1 Academy Proxy War

Nowhere is this more visible than the F1 Academy. The series mandates that every Formula 1 team must actively back a driver and put their livery on the car. In 2025, this turned the series into an extension of the F1 paddock. The championship was won by Doriane Pin, who drove for Prema Racing but was entirely backed and integrated into the Mercedes-AMG PETRONAS junior program. Pin took four wins and eight podiums to win the 172-point title. Her closest rivals were backed by Ferrari, McLaren, and Red Bull Racing. The F1 teams are handling the funding, providing elite simulator access, and grooming these drivers years before they ever touch an F1 car.

### The Expanding Empire of Junior Teams

As F1 teams pour money into the feeder series, the junior teams themselves are becoming massive global franchises. Prema Racing, long known as the gold standard in European junior racing, has become so powerful that they expanded all the way into the IndyCar series, fielding a two-car lineup for the 2025 and 2026 seasons. This means an F1 constructor can sign a 15-year-old karting star and keep them in the exact same branded ecosystem through F4, F3, F2, and even IndyCar. Independent privateer teams simply cannot compete financially or technologically with this kind of industrialized setup.

### The Cost Cap Conundrum

However, this massive investment hits a brick wall when it comes to the F1 cost cap. Currently, F1 mandates that teams must give rookies at least two FP1 practice sessions per year to help them develop. But if a rookie pushes too hard and crashes, the repair bill comes directly out of the team's strict aerodynamic development budget.

This creates a terrifying scenario for team principals. Recognizing this flaw, Mercedes driver George Russell recently proposed that the FIA needs to introduce a "cost cap tweak" that exempts rookie crash damage during these mandatory sessions. If a rookie damages the chassis, teams shouldn't have to sacrifice their car's future performance to pay for it. Until rules like this are implemented, F1 teams will continue to spend millions developing young drivers in F2, only to be terrified of actually putting them in the main F1 car.

## Case Study: Champions without a Seat

Winning the FIA Formula 2 Championship is generally considered one of the strongest indicators that a driver is ready to progress toward Formula 1. Since the championship became the FIA's second-tier single-seater category in 2017, several champions have successfully moved directly into F1. Charles Leclerc, George Russell, Mick Schumacher, Oscar Piastri and Gabriel Bortoleto all reached Formula 1 after winning the F2 title.

However, winning the championship does not guarantee an immediate Formula 1 seat.





### **Nyck de Vries: Championship Success Without an Immediate**

#### **Promotion**

Nyck de Vries won the 2019 F2 Championship but did not receive an F1 seat for the following season. Instead, he moved to Formula E, where he eventually became World Champion in 2021.

The lack of an F1 opportunity was discussed publicly during the 2019 season. At the time, Renault's Cyril Abiteboul pointed to the limited number of F1 seats as a structural problem for young drivers.

De Vries eventually reached Formula 1 in 2023 with AlphaTauri, meaning his F2 championship did not prevent him from reaching F1, but it did delay his progression by several years.

His case demonstrates that a driver can win F2 while being blocked by the availability of seats and the timing of the driver market.

### **Oscar Piastri: A Different Kind of Bottleneck**

Oscar Piastri won the 2021 F2 Championship after also winning the 2020 FIA F3 Championship. Despite this, he did not receive a full-time F1 race seat in 2022.

Instead, he became Alpine's reserve driver. He eventually reached F1 with McLaren in 2023 following the highly publicised dispute over his contractual future.

Piastri therefore demonstrates that even a driver with an exceptionally strong junior record can spend a season outside an F1 race seat.

His case is particularly relevant because the barrier was not simply a lack of performance. Piastri had already won both F3 and F2, yet there was no immediate race seat available to him at the start of 2022.

### **Felipe Drugovich: The Clearest Recent Example**

Felipe Drugovich won the 2022 F2 Championship by a substantial margin, finishing 101 points ahead of runner-up Theo Pourchaire.

Despite this dominant championship, Drugovich did not receive a full-time F1 race seat for 2023.

Instead, Aston Martin signed him as its first driver-development programme member and reserve driver. He participated in the Young Driver Test and was scheduled to drive the team's previous-generation car as part of his development.

As of 2026, Drugovich has still not secured a full-time F1 race seat. His situation has become a prominent example of the distinction between being successful enough to merit consideration for F1 and actually having a seat available. In 2025, Liam Lawson specifically described Drugovich as a driver who deserved an F1 seat.

Drugovich therefore represents one of the strongest examples of the structural bottleneck: a dominant F2 champion can remain outside the F1 grid even after demonstrating his ability at the final junior level.

### **Theo Pourchaire: When the Bottleneck Lasts Longer**

Theo Pourchaire won the 2023 F2 Championship after finishing runner-up in 2022. Despite being part of the Sauber/Alfa Romeo development structure, he did not receive a full-time F1 seat for 2024. Sauber instead retained its existing F1 line-up, while Pourchaire became its reserve driver.





Pourchaire subsequently moved through several different programmes, including Super Formula and IndyCar, before becoming a Mercedes development driver for 2026. He also entered endurance racing through Peugeot.

Pourchaire's case demonstrates another issue: even being part of an F1 team's driver-development programme does not guarantee that the team will have a seat available when the driver wins F2.

### **Leonardo Fornaroli: The Most Recent Example**

Leonardo Fornaroli won the 2025 F2 Championship, having already won the 2024 FIA F3 Championship. This made him the latest driver to win F3 and F2 in consecutive seasons, following Oscar Piastri and Gabriel Bortoleto.

However, Fornaroli did not receive a full-time F1 race seat for 2026. Instead, he joined the McLaren Driver Development Programme and has gained F1 experience through testing and Free Practice sessions. In 2026, he has driven McLaren's F1 car during official testing and FP1 sessions.

His situation is particularly interesting because he demonstrates that the absence of an immediate F1 seat does not necessarily mean the driver has been overlooked. A constructor can continue developing a champion while waiting for an appropriate opportunity to become available.

### **What the Champions Demonstrate**

The experiences of these drivers suggest that the transition from F2 to F1 is influenced by more than championship results.

A driver can win F2 and obtain an F1 seat immediately as happened with Leclerc, Russell, Schumacher and Bortoleto or win F2, and wait for an opportunity as happened with de Vries, Piastri, Drugovich, Pourchaire and Fornaroli.

The difference can depend on factors such as:

- the number of F1 seats available;
- existing driver contracts;
- relationships with F1 teams;
- driver academies;
- timing within the driver market;
- the team's assessment of the driver's long-term potential; and
- the financial and commercial circumstances surrounding a potential signing.

### **Championship Results vs. F1 Promotion**

The historical record also demonstrates why winning F2 should not be treated as an automatic promotion mechanism.

Some drivers who did not win the F2 Championship have reached F1 relatively quickly. For example, Lando Norris, Alex Albon and Yuki Tsunoda all reached Formula 1 without first winning the F2 Championship. Formula 1 notes that 21 drivers have made the transition from F2 to F1 since the championship's inaugural 2017 season, demonstrating that F2 is an important pathway but not an automatic queue for F1 seats.





This means that F1 teams are effectively making a selection decision, rather than simply promoting drivers according to their F2 finishing position.

### **What This Means for the Driver-Development System**

The examples above do not necessarily demonstrate that the F2 championship is failing to identify talent. In fact, many F2 champions have successfully reached F1 and some have subsequently become race winners and championship contenders.

Instead, they demonstrate a different problem:

Success in F2 can establish that a driver is performing at the highest level of the junior ladder, but it cannot create an F1 opportunity that does not exist.

This distinction is particularly important when considering reform. Providing more funding for F2 could allow more drivers to reach the championship, but it would not automatically increase the number of F1 seats available.

Similarly, changing the Super Licence system would affect eligibility, but not necessarily opportunity.

The cases of Drugovich, Pourchaire and Fornaroli therefore raise an important question for the committee: if a driver can win the final major junior championship and still remain outside the F1 grid, should the driver-development system do more to facilitate the transition between F2 and Formula 1?

## **Protecting Independent F2 Teams**

Formula 2 is a standardised championship with 11 teams and 22 drivers in 2026. Unlike Formula 1, F2 teams do not independently develop their own cars, with the FIA's technical regulations controlling the specification and permitted modifications. This allows drivers to compete in a relatively cost-controlled environment while teams remain responsible for operating their cars.

An important part of this structure is that drivers do not need to belong to an F1 team's driver academy to compete in F2. Independent F2 teams can provide opportunities to drivers who have progressed through the junior categories without already having backing from a constructor.

### **F1 Driver Academies**

F1 constructors already support drivers through their own driver academies, which can provide funding, coaching, simulator work, testing and other development resources. A driver supported by an academy can still compete for an independent F2 team; the F1 constructor does not necessarily need to own or control that team.

Greater constructor investment could therefore provide valuable financial and developmental support to F2 drivers, but it could also make F1 academy selection increasingly important for drivers trying to remain in the pathway.

### **Maintaining an Open Pathway**

Independent teams are particularly relevant because F1 academies have limited places and individual constructors have different priorities when selecting drivers. A driver who is not selected by an academy can still use F2 to demonstrate their ability to F1 teams.





If F2 became increasingly dependent on constructor-backed drivers, the pathway could become more closely tied to which F1 team chooses to support a driver rather than simply whether that driver can obtain a competitive F2 opportunity.

At the same time, constructor involvement could bring additional funding into F2 and help address the financial barriers discussed above.

The issue is therefore a balance between greater investment in driver development and maintaining an independent route through which drivers can compete without prior F1 backing.

### **F1 Academy**

F1 Academy should be distinguished from F1 driver academies. It is a separate all-female, Formula 4-level championship, designed to develop female drivers at an earlier stage of the single-seater pathway. All ten existing F1 teams support a driver and livery in the 2026 championship.

Its structure demonstrates that F1 constructors can support drivers in a separate junior championship without directly controlling the championship itself. However, F1 Academy operates much earlier in the pathway than F2, making the question of constructor involvement more significant at F2 level, where drivers are much closer to potential F1 promotion.

### **Key Takeaway**

Independent F2 teams allow drivers to compete without necessarily having prior F1 backing, while F1 driver academies provide selected drivers with additional resources. Greater constructor involvement could help address F2's financial barriers, but could also make the pathway increasingly dependent on F1 academy selection.

The committee must therefore consider how the relationship between F1 constructors, driver academies and independent F2 teams should develop without undermining F2's role as an open driver-development championship.

## **Alternative Levers**

Direct investment by Formula One constructors in Formula 2 is only one potential way to address weaknesses in the driver-development pathway. Greater involvement from F1 teams could provide valuable financial and technical resources, but making constructors the main source of support could also increase their influence over an otherwise independent championship. The FIA should therefore examine several complementary mechanisms.

One option is reform of the Super Licence system. The current points structure offers an objective way of assessing whether drivers have achieved sufficient results in recognised championships, with the top three F2 drivers receiving 40 points each under the 2026 system. Nevertheless, changing the Super Licence system cannot create additional F1 seats. Reforms should therefore focus on accurately recognising ability rather than guaranteeing promotion.

A second option would involve scholarships and financial development grants. Rather than placing responsibility directly on F1 constructors, the FIA or commercial partners could provide targeted support to drivers who achieve strong results but lack the financial resources required to continue. Such a system could reduce dependence on private wealth while allowing F2 teams to retain greater independence. Transparent sporting criteria would be necessary to prevent the system from becoming another form of preferential selection.





A third lever is the regulation and transparency of F1 driver academies. The FIA could encourage constructors to publish clearer criteria for selecting and retaining junior drivers, establish minimum development commitments for academy members, or require greater transparency regarding testing and development opportunities. Such measures would not remove constructor autonomy but could make the pathway easier for drivers and teams to understand.

The FIA could also expand structured access to simulator programmes, testing and F1 practice sessions. These opportunities can allow constructors to evaluate drivers beyond championship results and help young drivers gain experience with Formula One machinery. A more standardised approach could reduce the extent to which access to development opportunities depends entirely on which academy a driver belongs to.

Another possible measure is to strengthen the connection between F2 results and reserve or development positions. A successful F2 driver could be offered structured opportunities within an F1 organisation without being guaranteed a race seat. However, reserve roles should not become indefinite holding positions. If drivers remain in development programmes for several years without a realistic path to racing, the system would simply delay the existing bottleneck.

The FIA could also recognise alternative professional pathways more explicitly. Formula E is increasingly relevant to this discussion because it provides a high-level international single-seater championship for drivers who may not obtain an F1 seat. Current Formula E competitors include former F2 drivers such as Dan Ticktum, Felipe Drugovich and Josep María Martí, as well as former F1 drivers. This creates the possibility of treating the wider professional racing ecosystem as part of driver development rather than viewing F1 promotion as the only successful outcome.

This raises a further policy question: should the FIA facilitate transitions between F2, F1 academies and other FIA-sanctioned championships? Structured links could allow drivers to continue professional careers when an F1 opportunity is unavailable while preserving the possibility of returning to the F1 ecosystem through testing, reserve or development roles. However, the FIA would need to avoid creating a system in which drivers are pushed away from F1 simply because seats are scarce.

The racing calendar and scheduling of different championships may also become relevant. If junior and professional championships overlap heavily, drivers may face difficulties combining reserve responsibilities, testing programmes and alternative racing opportunities. Better coordination between FIA-sanctioned categories could allow young drivers to maintain competitive seats while also participating in constructor development programmes. This would be particularly relevant for drivers who move between F2, Formula E, endurance racing or other categories while waiting for an F1 opportunity.

Another possible solution is improved performance assessment and transparency. Standardised performance data could help F1 teams compare drivers using consistent criteria instead of relying heavily on reputation, financial backing or academy connections. This could give drivers outside major development programmes a stronger opportunity to attract constructor attention.

These measures could be combined into a broader reform package. For example, the FIA could introduce limited Super Licence changes, targeted scholarships, clearer academy standards, expanded testing opportunities, coordinated championship calendars and stronger protections for independent F2 teams while keeping direct constructor investment voluntary.





The central principle should be that improving access does not mean guaranteeing promotion. F1 constructors should retain the freedom to select drivers based on performance, experience and long-term competitive plans. The FIA's responsibility should instead be to ensure that talented drivers have a fair opportunity to reach the stage where constructors make those decisions, while also ensuring that drivers who do not immediately reach F1 are not excluded from professional motorsport.

The committee must therefore identify which part of the pathway requires the most attention. Is the main obstacle the cost of reaching F2, access to F1 academies, the Super Licence requirements, the limited number of F1 seats, the availability of reserve and testing opportunities, or the lack of structured links to alternative championships such as Formula E?

## Stakeholder Perspectives & Bloc Positions

### The Formula One Constructors

This group comprises the eleven entries on the 2026 grid.

They operate under a strict \$215 million cost cap, these entities serve as the ultimate arbiters of the global driver market. They hire drivers and manage the logistical burden of the 2026 sporting regulations, which dictate that they must surrender their primary cars for four mandatory rookie Free Practice 1 (FP1) sessions per season.

### The Junior Drivers

This demographic features emerging talents actively competing in the feeder series and participating in 2026 FP1 sessions.

These athletes compete in lower categories like the FIA Formula 2 Championship and F3, aiming to accumulate the mandatory 40 Super Licence points over a rolling three-year period required to qualify for Formula One. They rely on limited FP1 outings to showcase their capabilities to F1 team principals.

### The FIA Single-Seater Commission

They serve as the primary regulatory body overseeing the sporting ladders from karting through to Formula One, the Commission designed and governs the Super Licence system. They are responsible for continually calibrating the point distributions across junior championships to prevent dangerously underqualified drivers from racing in the premier class, while attempting to address promotional bottlenecks that strand highly qualified F2 champions.

### Sponsors and Driver Academy Directors

This group includes the financial benefactors and talent managers embedded within elite programs such as the Mercedes Junior Team, the Ferrari Driver Academy, and the Red Bull Junior Team.

They provide the crucial financial subsidization often exceeding €5 million per season in F2 necessary for a driver to survive the junior ladder. By funding these exorbitant costs, they hold monopolistic control over the promotion pathway, guaranteeing returns on their investments by strategically placing their prospects into affiliated F1 seats while independent talents are frequently priced out.





## QARMA (Questions a Regulation Must Answer)

The driver-development pathway is not a single question but a series of interlocking ones, spanning eligibility, opportunity, funding, and the limits of what a regulator can legitimately compel. The following are not exhaustive. They are the questions any credible regulation must take a position on.

### Eligibility versus Opportunity

- Can any reform close the gap between qualifying for a Super Licence and obtaining a seat without compelling constructors to hire, and if it cannot, what is the FIA responsible for, and what must it leave to the market?
- Should a dominant F2 champion such as Drugovich be owed a structured guarantee, whether a reserve role, a testing programme or priority consideration, or does any such guarantee unacceptably override a constructor's freedom to select?

### Constructor Investment in F2

- Should direct constructor investment in Formula 2 be encouraged, capped, or made conditional, and what prevents the championship from collapsing into a closed academy series in which unbacked drivers are locked out?
- If constructors fund F2 seats, what protection must exist for independent teams and independently funded drivers so the pathway does not reduce to which F1 team selects a driver at fifteen?

### Calibrating the Super Licence

- Is 40 points over three years still the correct threshold, and are the 2026 weightings, including the IndyCar uplift and the F1 Academy integration, calibrated to reward genuine competitive depth rather than mere grid size?
- Should the points system ever confer opportunity, such as a mandated evaluation session for top finishers, rather than mere eligibility, and where does that cross into distorting the driver market?

### Rookie Evaluation and the Cost Cap

- Should mandatory rookie FPI sessions, and any crash damage incurred in them, be exempted from the cost cap as

George Russell proposed, and how would that exemption be ring-fenced against abuse?

- Should the FIA mandate a standardised rookie evaluation in equal machinery, such as the proposed post-season Rookie Sprint Race, and who should bear the logistical burden that cancelled it in 2024?

### Reserve Limbo and Funding

- Should there be a limit on how long a driver may be held in a reserve or development role, as Pourchaire's multi-year limbo suggests, before a constructor must release them?
- Who should bear the cost of developing future F1 drivers, whether constructors, the FIA, commercial partners or the drivers themselves, and should scholarships or a scaled-up prize-fund model be introduced in F2 to reduce pay-driver dependence?





### The Wider Ecosystem and the Academy Wall

- Is the FIA's objective to maximise F1 promotion, or to sustain an ecosystem in which Formula E, IndyCar and endurance racing count as legitimate outcomes, and if the latter, should structured return routes to F1 be built?
- What mechanism moves F1 Academy graduates past the current wall, given that no graduate has yet reached FIA F3 or F2, and should mandated progression funding or the proposed F2/F3 power-steering reform be part of it?